Shakti and Shanti: The Nuclear Tests and Their Aftermath, 1998–2005

Immediately after returning to power at the head of a coalition government following the 1998 General Elections, Vajpayee gave the order to test nuclear weapons. The tests conducted between 11 May and 13 May 1998 became known as Pokhran-II after the test site (Pokhran-I being the peaceful nuclear explosion of 1974). The immediate political implications were sharp and negative. On 4 June, the foreign ministers of the five permanent members of the UN Security Council—the United States, China, Russia, France and the United Kingdom, all nuclear weapon states under the NPT—issued a strong statement calling for the prevention of an arms race in South Asia, strengthening non-proliferation, and dispute resolution between India and Pakistan. This was supplemented by the 6 June UN Security Council Resolution 1172 that was even harsher. US sanctions included suspending defence sales, denying government credit and loans, prohibiting loans from international financial institutions, a hold on loan guarantees, a denial or delay of visas for Indian scientists, and the suspension of aid, with the exception of food and humanitarian assistance. As spelled out by the United States, the criteria for lifting sanctions were five-fold: India should sign the Comprehensive Test Ban Treaty (CTBT), freeze fissile material production and work towards a permanent ban, limit its ballistic missile development, align export controls with international standards, and resume dialogue with Pakistan on the causes of tension, including Kashmir. [22] From New Delhi's point of view, these were completely unacceptable demands.

But India managed a careful counter-offensive. Led by Vajpayee and Jaswant Singh (who transitioned from Deputy Chairman of the Planning Commission to External Affairs Minister), India banked on the fact that access to its large market would get the US Congress and European governments to advocate for a swift relaxation of sanctions. While engaging in a dialogue with the United States and other countries, India played for time, and its gamble paid off. Within six months, the US Congress approved